USIT Texas Stock Pitch

NetApp, Inc. (NASDAQ: NTAP)

Market Cap: $20.5 B
#1 spot in hybrid storage

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Intelligent data infrastructure that unifies storage across flash, hybrid, and cloud

Company Overview

- NetApp is a cloud-led data infrastructure company founded in 1992, a B2B company providing data storage and hybrid solutions to enterprises.
- NetApp has two main product categories, hybrid cloud and public cloud. Hybrid cloud includes businesses' own isolated data center infrastructure, meaning private server and on-prem, and collaborating with public clouds to achieve control, security and flexibility. For on-prem physical hardware, FAS Software offers perpetual licensing fees, ranging from $20,000 to several hundred thousand dollars for larger enterprises, and FAS Software installed on private server, licensed on a capacity-based model, has costs ranging roughly from $0.04 to $0.1 per GB per year for licenses, with ONTAP managing 100+ EB of data. NetApp also provides first-party services, NAS, by integrating its ONTAP storage operating system directly into AWS, Azure, and Google Cloud, and NAS charges subscription fee to public clouds with prices often starting around $0.03 to $0.04 per GB per month. Revenue depends on the size of the customer, which could range from 10TB to several PB.

NetApp Product Differentiation

1. Private Storage Arrays

- **NetApp**'s AFF pairs strong all-flash performance with a unified operating model (ONTAP) that supports both file and block plus mature data services, so customers can standardize policy, protection, and day-2 operations across more workloads on one platform. **Pure Storage** is the most direct peer, winning on speed and specialized but has less capacity.

2. Bridge Systems / Data Fabric Vendors

- **NetApp**'s ONTAP is a stronger bridge overall because it standardizes operations across environments, not just file access. **Pure Storage** supports hybrid continuity through its own software and ecosystem, but the bridge is typically more about creating a single operating model and blocking multiple locations.

3. Collaboration with Public Clouds

- **NetApp**'s public-cloud collaboration is structurally deeper because ONTAP exists as hyperscaler-managed services across the major clouds, so customers get enterprise storage which leads to lower friction for hybrid operations. **Pure Storage** has cloud offerings that extend Pure environments into public cloud, but it brings storage stack into cloud rather than the hyperscaler operating end-to-end.

Investment Thesis

1. The market prices NetApp like a mature, lumpy hardware vendor, but the business is increasingly a recurring, consumption-linked infrastructure model

- NetApp trades at 3x EV/Sales and 11x EBITDA, placing it between mature hardware vendors like Dell (1.8x sales) and HPE (1.1x sales) and a software-leaning storage peer like Pure Storage, which screens at a much higher EV/Sales level around ~6x versus NetApp around ~3x. But NetApp's earnings base is increasingly underwritten by the installed base because support and services are about 54 percent of revenue, which behaves like a subscription layer that renews even when product spend slows, and that matters even more as enterprise AI moves from pilot to production. Today, roughly 80% of Fortune 500s are experimenting with GenAI, but less than 20% have production deployments at scale, and as that flips, likely in Q2 2026, storage demand shifts from raw capacity to performance plus governance. AI workloads also force hybrid architectures, leading to higher margin because it lands inside existing accounts and monetizes through the support base, so as investors underwrite those economics, the multiple can drift toward recurring infrastructure and narrow the gap to Pure rather than staying anchored to mature hardware.

2. The hybrid "bridge" is the control point in enterprise data; without it, hybrid operations get expensive, fragile, and slow

- Recent sell-side commentary has emphasized AI-driven flash demand tied to GPU training infrastructure, framing AI exposure primarily as a near-term performance storage tailwind. Under this view, AI contributes incrementally to revenue but does not materially alter long-term growth or cyclicality assumptions. With consensus modeling ~4–5% revenue growth and operating margins stabilizing around ~29–30%.
- We believe this framing underestimates the structural implications of AI data lifecycle dynamics. While the initial training phase is performance-sensitive, the majority of AI-related datasets transition over time into governed, cost-efficient storage tiers focused on security, compliance, durability, and multi-cloud management. This second phase compounds as enterprise AI scales, creating a growing base of storage demand.
- We view AI as a structural lifecycle shift that enhances NetApp's hybrid cloud monetization and improves revenue durability. We estimate lifecycle-driven AI storage can add 150–200bps to revenue CAGR over the next three years, supporting sustainable operating margins of ~30–31%. As cyclicality concerns fade and revenue quality improves, we see scope for multiple expansion from ~13x to ~15x forward earnings.

3. Growth does not need to be explosive for per-share value to compound; the model supports leverage and sustained capital return

- NetApp does not need explosive growth to create real per-share compounding because the model already converts modest revenue growth into faster earnings and cash growth. Revenue stays durable, and public cloud consumption grows steadily, leading to higher incremental margins and showing up as profit per share. NetApp's software is embedded in AWS, Azure, and Google Cloud, and every GB generates NetApp revenue, so as hyperscalers scale their enterprise footprint, NetApp's public cloud revenue can grow automatically. The hyperscalers do the selling, provisioning, and support while NetApp collects consumption-based software revenue.
- NetApps's margins continue to grow to resemble those of comparable SaaS companies, which can be seen with operating margin expanding 20.3% and FCF increasing by 70.2% from 2022 to 2025 despite cumulative revenue growth of 5%. In essence, the revenue becomes more usage-linked and smoother, supporting a higher-through-cycle multiple even if headline growth stays mid-single digits, supporting an operating margin increase of 2% YoY while analysts project 1-1.5%.
- The market has not realized that the downside is limited. Lower revenue growth makes it still a cash cow with high margin growth and dividend yield. Hybrid cloud growth is slow, and FCF per share continues to climb through operating leverage and capital returns. The bull case adds extra growth. If public cloud scales faster, margins can expand further, and on top of higher cash flow, the market can re-rate the multiple as investors reclassify NetApp from mature hardware to recurring infrastructure. The increase in SaaS revenue percentage will cause a price correction.

Risks & Mitigants

- Hyperscalers (AWS, Azure, GCP) leverage economies of scope that NetApp cannot match. Due to this low cost, hyperscalers could keep improving native storage and data-management services and bundle them more aggressively into broader cloud contracts, so enterprises may default to "good-enough" cloud-native tooling for more workloads, which would compress NetApp's differentiation.
- If AI training shifts meaningfully toward purpose-built parallel storage stacks, NetApp can lose the highest-throughput and the most performance-sensitive storage spend because ONTAP's enterprise features add overhead and often require heavier scale-out to hit the same bandwidth compared to Pure Storage. That matters because the buyers in this segment optimize for GPU utilization and $/GB/s, not unified protocol support, so competing platforms that scale more linearly can win on total cost and operational simplicity.